POSCO Future M (003670 KS)

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3Q26 review: earnings beat consensus

3Q26 review: OP beats consensus

POSCO Future M posted 3Q26 revenue of W834.8bn (+22.9% QoQ, -4.6% YoY) and OP of W82.1bn (+207.8% QoQ, +23.2% YoY, OPM 9.8%), far exceeding consensus (OP W17.9bn). Despite lower ASP and won appreciation, earnings were solid thanks to: 1) customer shortfall penalty payments; and 2) one-off inventory sales gains in China. Basic materials also posted solid results on strong oil prices and the absence of a one-off provisions booked in the previous quarter (around W5bn in quality warranty provisions for POSCO refractories).

Shipments to expand in 4Q26; strong LFP/synthetic graphite momentum

We estimate 4Q26 revenue at W820.3bn (-1.7% QoQ) and OP at W21bn (-74.4% QoQ, OPM 2.6%). Cathode materials shipments will likely increase by around 33% QoQ on: 1) deferred shipments to China alongside incremental volumes to Ford; and 2) the start of lithium iron phosphate (LFP, cathode material used in lithium iron batteries) mass production, although ASP declines from a sharp drop in lithium carbonate prices (-25% MoM in October) and won appreciation will likely offset volume gains. On the profit front, the dissipation of one-off gains, initial LFP fixed costs, and lower basic materials profit QoQ due to falling oil prices will likely exert pressure.

However, we expect order momentum and top-line growth centered on LFP and synthetic graphite to accelerate in 2027. The firm is converting 45,000 tonnes of existing ternary cathode capacity into 105,000 tonnes of LFP capacity, with completion scheduled for May 2027. This will likely be supplied to two domestic cell makers. The company signed a seven-year MOU with LG Energy Solution covering 720,000 tonnes of LFP cathode materials and synthetic graphite. This should support a meaningful contribution from LFP products while providing momentum for further capacity expansion. As demand for synthetic graphite rises, additional client orders are expected on top of existing clients.

Maintain BUY and target price

We maintain BUY and our target price of W226,000. In the near term, despite the dissipation of 3Q26 one-off gains, investors should focus on higher shipments and the revenue contribution from LFP in 4Q26. From 2027 onward, we expect sustained order momentum for LFP and synthetic graphite, with their contributions to earnings starting to accelerate.

BUY (M)

Target price	W226,000 (M)
Previous target price	W226,000
Current price (Nov 02)	W168,900
Upside potential	34%

Market cap (Wbn)	15,023
Shares outstanding	88,946,220
Avg daily T/O (2M, Wbn)	61
Avg daily volume (2M, shrs)	345,592
52-week high/low (won)	296,000 / 122,100
Foreign ownership (%)	8.95%
Dividend yield (%)	0.13%
Major shareholders	POSCO Holdings & others

Stock performance

(%)	1M	3M	12M
Absolute	(9.6)	22.7	(22.0)
Relative	8.0	38.1	(45.3)
Abs (US$)	(9.2)	30.0	(17.3)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	835	-4.6	22.9	772	8.1
OP	82	23.1	207.6	19	323.1
Pre-tax net profit	69	21.0	173.2	11	503.9
Net profit, CI	44	3.4	88.9	8	416.6
OPM (%)	9.8	+2.2 %pt	+5.9 %pt	2.5	+7.3 %pt
NPM (%)	5.2	+0.4 %pt	+1.8 %pt	1.1	+4.1 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,700	2,939	3,092	3,270
OP	1	33	147	36
Net profit, CI	-212	32	60	-13
P/E (x)	-91.4	388.1	251.8	-1,118.1
P/B (x)	6.5	3.3	3.5	3.5
EV/EBITDA (x)	122.4	72.5	54.7	74.2
ROE (%)	-8.0	0.9	1.4	-0.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

3Q26 review (Wbn)

	3Q25	2Q26	3Q26P	% QoQ	% YoY	Consensus	Difference
Sales	875	679	835	22.9%	-4.6%	757	78
Basic materials	341	352	375	6.7%	9.9%		
Refractories/plant	130	114	101	-11.3%	-21.6%		
Lime chemicals	212	237	274	15.4%	29.2%		
Energy materials	533	328	460	40.2%	-13.8%		
Anode	25	28	27	-3.2%	7.8%		
Cathode	508	300	432	44.3%	-14.9%		
OP	67	27	82	207.8%	23.2%	18	64
OPM (%)	*7.6%*	*3.9%*	*9.8%*	*5.9%p*	*2.2%p*		
Basic materials	19	24	30	25.5%	57.5%		
Energy materials	47	3	52	1,948.7%	9.3%		

Source: Yuanta Securities

POSCO Future M: earnings forecast (Wbn)

	1Q26	2Q26	3Q26P	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2026E	2027E	2028E
Sales	757.5	679.5	834.8	820.3	687.8	758.5	858.4	964.9	3,092.0	3,269.5	4,063.5
QoQ %	*35.9*	*-10.3*	*22.9*	*-1.7*	*-16.2*	*10.3*	*13.2*	*12.4*			
YoY %	*-10.4*	*2.8*	*-4.6*	*47.1*	*-9.2*	*11.6*	*2.8*	*17.6*	*5.2*	*5.7*	*24.3*
Basic materials	323.9	351.6	375.1	346.0	343.0	347.0	352.0	357.0	1,396.6	1,399.0	1,420.0
Refractories/plant	113.2	114.4	101.5	103.0	104.0	105.0	106.0	107.0	432.1	422.0	425.0
Lime chemicals	210.7	237.2	273.6	243.0	239.0	242.0	246.0	250.0	964.5	977.0	995.0
Energy materials	433.6	327.9	459.6	474.3	344.8	411.5	506.4	607.9	1,695.4	1,870.5	2,643.5
Anode	418.7	299.6	432.3	446.8	317.8	380.8	471.8	569.6	1,597.4	1,739.9	2,411.6
Cathode	14.9	28.2	27.3	27.5	27.0	30.8	34.5	38.3	98.0	130.6	231.9
OP	17.7	26.7	82.1	21.0	-12.3	3.0	14.5	30.4	147.6	35.5	141.9
Basic materials	18.8	24.2	30.3	18.7	18.6	19.4	19.7	20.0	92.0	77.7	79.5
Energy materials	-1.1	2.5	51.8	2.3	-31.0	-16.4	-5.2	10.4	55.6	-42.2	62.5
OPM	*2.3*	*3.9*	*9.8*	*2.6*	*1.8*	*0.4*	*1.7*	*3.2*	*4.8*	*1.1*	*3.5*
Basic materials	*5.8*	*6.9*	*8.1*	*5.4*	*5.4*	*5.6*	*5.6*	*5.6*	*6.6*	*5.6*	*5.6*
Energy materials	*-0.2*	*0.8*	*11.3*	*0.5*	*-9.0*	*-4.0*	*-1.0*	*1.7*	*3.3*	*-2.3*	*2.4*

Source: Yuanta Securities

POSCO Future M (003670 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,700**	**2,939**	**3,092**	**3,270**	**4,064**
Cost of sales	3,464	2,682	2,806	2,967	3,759
Gross profit	236	256	286	303	305
SG&A	235	236	149	267	163
Operating profit	**1**	**33**	**147**	**36**	**142**
EBITDA	185	223	353	265	368
Non-operating profit	-433	-43	-59	-56	-29
Forex gains	-42	-23	-7	-5	28
Net interest income	-49	-41	-50	-55	-61
Equity-method gains	-95	-8	8	8	8
Other	-246	30	-10	-4	-4
Net prof before income tax	-432	-10	88	-20	113
Income tax	-201	-46	21	-5	196
Net profit from continuing ops	-231	37	67	-15	-83
Net profit from discontinued ops	0	0	0	0	0
Net profit	-231	37	67	-15	-83
NP for controlling interest	**-212**	**32**	**60**	**-13**	**-74**
Total comprehensive income	-69	23	348	-4	-71
Total comprehensive income, CI	-85	19	280	-3	-57

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**2,113**	**2,170**	**2,423**	**2,669**	**2,902**
Cash & cash equivalents	644	320	393	605	337
Accounts receivables & other	473	400	420	433	539
Inventory	768	841	841	817	1,016
Non-current assets	5,820	6,974	7,865	8,213	8,320
Tangible assets	5,160	6,253	6,957	7,295	7,335
Investment in affiliates	185	175	258	273	339
Other investment assets	14	28	40	42	49
Total assets	**7,932**	**9,144**	**10,288**	**10,882**	**11,222**
Current liabilities	1,570	1,658	1,717	1,933	2,348
Accounts payable & other	920	615	587	599	701
ST financial liabilities	185	127	282	282	382
Liquid LT liabilities	441	881	798	998	1,198
Non-current liabilities	3,042	2,973	3,722	4,126	4,144
LT financial liabilities	1,231	1,860	2,248	2,448	2,448
Debentures	1,707	999	1,348	1,548	1,548
Total liabilities	**4,612**	**4,632**	**5,439**	**6,058**	**6,492**
Equity, controlling interest	2,970	4,068	4,333	4,309	4,224
Paid-in capital	39	44	44	44	44
Capital surplus	1,459	2,556	2,556	2,556	2,556
Retained earnings	761	771	800	764	668
Equity, non-controlling interest	350	445	517	515	506
Total equity	**3,321**	**4,512**	**4,849**	**4,823**	**4,730**
Net debt	**2,899**	**3,188**	**3,742**	**4,096**	**4,511**
Total debt	3,657	3,954	4,760	5,362	5,669

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**671**	**-34**	**280**	**334**	**-62**
Net profit	-231	37	67	-15	-83
Depreciation & amortization	174	193	206	222	220
Forex gains	-8	0	7	5	-28
Affiliate investment gains	95	8	-8	-8	-8
Increase in net working cap	473	-292	-169	-81	-377
Other	168	21	177	212	214
Investing cash flow	**-1,810**	**-1,727**	**-1,014**	**-601**	**-482**
Investment	204	71	-58	-16	-73
Increase in tangible assets	-2,042	-1,499	-763	-560	-260
Decrease in tangible assets	7	3	0	0	0
Other	20	-302	-193	-25	-149
Financing cash flow	**1,375**	**1,430**	**723**	**519**	**222**
ST financial liabilities	-285	-56	164	2	108
Debenture/LT financial liabilities	812	353	642	600	200
Equity	2	1,102	0	0	0
Cash dividend	-22	-1	-22	-22	-22
Other cash flow	868	32	-60	-61	-63
Consolidation adj and other	19	6	84	-40	54
Increase in cash & equivalents	**255**	**-324**	**73**	**212**	**-268**
Beginning cash & equivalents	390	644	320	393	605
Ending cash & equivalents	644	320	393	605	337
NOPLAT	1	33	**147**	**36**	**142**
FCF	**-1,371**	**-1,532**	**-483**	**-226**	**-322**

Valuation

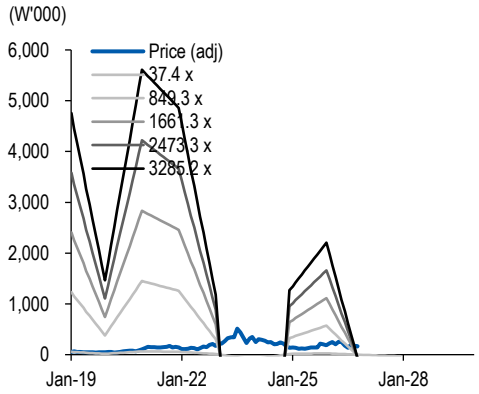
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	-2,655	386	671	-151	-828
BPS (won)	37,162	45,731	48,712	48,440	47,491
EBITDA/shr (won)	2,312	2,669	3,964	2,974	4,136
SPS (won)	46,274	35,119	34,763	36,758	45,685
DPS (won)	0	250	250	250	250
P/E (x)	**-91.4**	**388.1**	**251.8**	**-1,118.1**	**-203.9**
P/B (x)	**6.5**	**3.3**	**3.5**	**3.5**	**3.6**
EV/EBITDA (x)	**122.4**	**72.5**	**54.7**	**74.2**	**54.5**
P/S (x)	**5.2**	**4.3**	**4.9**	**4.6**	**3.7**

Key financial data

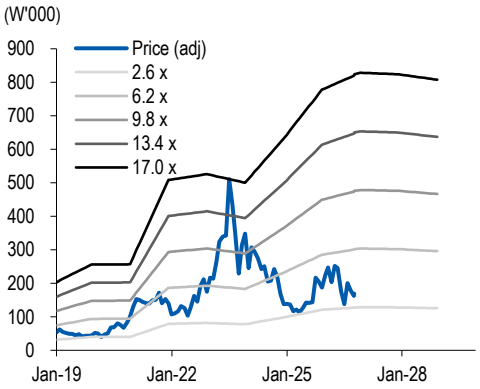
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-22.3**	**-20.6**	**5.2**	**5.7**	**24.3**
Operating profit (%YoY)	**-98.0**	**4,451.5**	**349.3**	**-75.9**	**299.7**
Net profit, CI (%YoY)	**TTR**	**TTB**	**85.0**	**TTR**	**RR**
Gross margin (%)	6.4	8.7	9.3	9.3	7.5
Operating margin (%)	**0.0**	**1.1**	**4.8**	**1.1**	**3.5**
Net margin, CI (%)	-5.7	1.1	1.9	-0.4	-1.8
EBITDA margin (%)	5.0	7.6	11.4	8.1	9.1
ROIC (%)	0.0	-1.9	1.3	0.4	-1.2
ROA (%)	-3.0	0.4	0.6	-0.1	-0.7
ROE (%)	**-8.0**	**0.9**	**1.4**	**-0.3**	**-1.7**
Debt-to-equity (%)	138.9	102.7	112.2	125.6	137.2
Net debt-to-equity (%)	97.6	78.4	86.4	95.1	106.8
OP/financing cost (x)	0.0	0.5	1.9	0.4	1.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

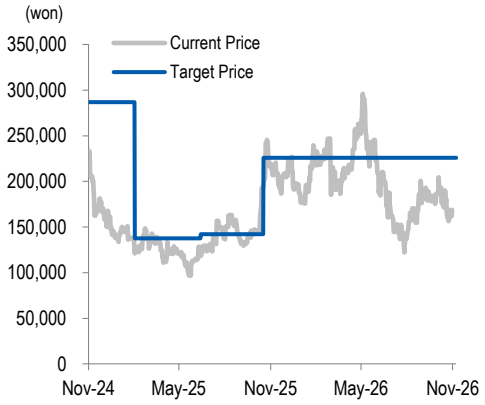
P/E band chart



P/B band chart



POSCO Future M (003670 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/03	BUY	226,000	1 yr		
2026/10/20	After 1yr		1 yr	-26.93	-20.00
2025/10/20	BUY	226,000	1 yr	-11.19	30.97
2025/06/16	HOLD	142,000	1 yr	0.33	36.27
2025/02/04	HOLD	137,643	1 yr	-10.14	7.75
2024/05/07	HOLD	286,917	1 yr	-26.33	-3.38

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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